

Jump in German factory orders, helped by inflation front-running

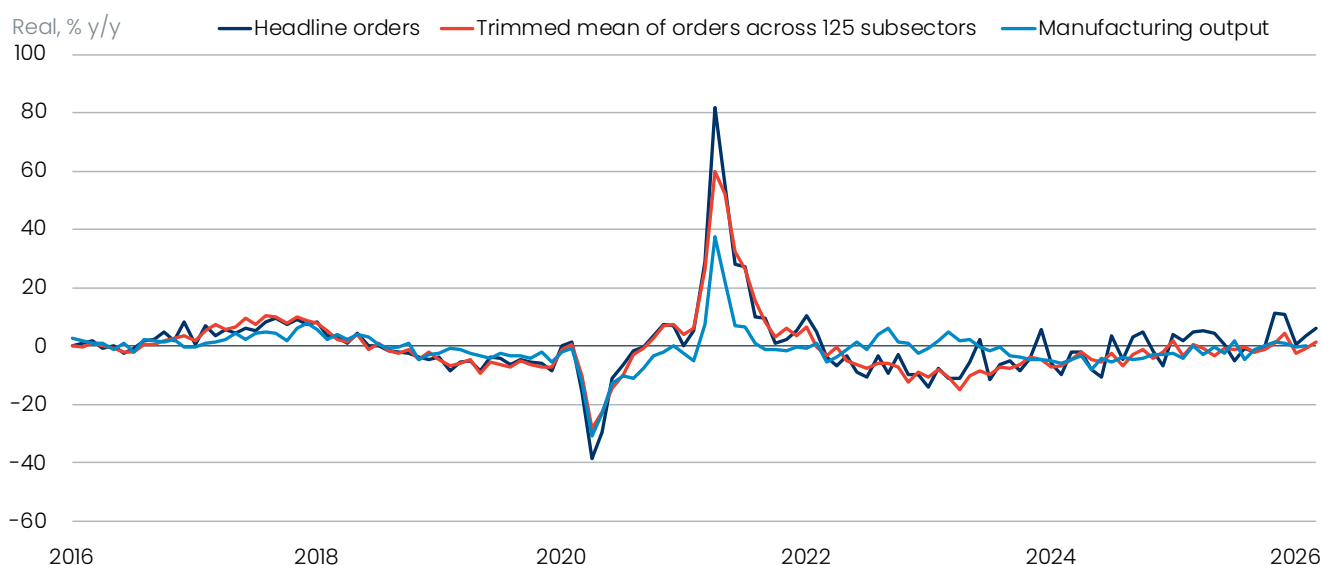
- German factory orders jumped 5.0% m/m in March, well above February's revised 1.4% increase, but it is not clear evidence the sector has shrugged off the US/Iran shock, and it overstates Eurozone manufacturing's resilience. We think the flatter 0.7% m/m turnover outturn is a better guide for industrial activity in Q2.
- While two measures of core orders saw large gains signalling a broadening of demand beyond defence, the gains were narrowly focused in only a few sectors that are often supply constrained. The reported gains may partly reflect some front-running of the coming supply disruptions as suggested by recent PMIs.

German manufacturing orders rose by 5.0% m/m in March, with orders excluding large-scale items up 5.1% m/m. But the surge should not be read as a clear sign of industry resilience. The increase was largest in electrical equipment (21.5% m/m), machinery (6.9% m/m) and computer equipment (14.4% m/m), but concentrated in a few subsectors facing potential supply constraints. Order gains may therefore reflect recent PMI readings which suggest front-running in sectors that may face supply stress from the US/Iran war supported new orders in [March](#), with the effect waning in [April](#). On a quarterly basis, new orders remain lower than in the last quarter of 2025. Turnover rose by a softer 0.7% m/m and remained down 2% y/y, so we think the data are consistent with industry being temporarily propped up, rather than pointing to a material improvement in the Q2 growth outlook.

The rise was not purely a domestic story, with foreign orders up 5.6% m/m, including a 10.1% rise from the euro area and 2.7% from elsewhere. But we expect this strength to come under fire as higher commodity prices, and [supply-chain stress](#) from the Iran war feed through.

Chart 1: The rise was broad-based across subsectors

Germany: Factory orders and manufacturing output



Sources: Oxford Economics, Haver Analytics